

STEP 1.1 - FOUNDATIONS

Introduction to Business Administration

What business is, how it organises itself, what it exists to achieve, and who gets a say.

BBA 1110 — Principles of Business Administration

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ADDED VALUE

- Audio overview — coming once uploaded to NotebookLM
- Next: Step 2.1 — Design & Structure of Organisations

CONCEPT 01

What Is Business?

A business is any organisation that transforms resources — land, labour, and capital — into goods or services that satisfy the wants of buyers. The transformation adds value: the finished output is worth more than the inputs consumed to produce it. That margin, when positive and sustained, is profit.

Business administration is the systematic management of how that transformation happens: planning what to produce, organising the people and resources required, directing the work, and controlling the outcome against the plan. These four activities — plan, organise, direct, control — reappear in every topic of this course.

Every organisation — whether a roadside Kantemba or First Quantum Minerals — performs the same four management functions. The scale changes; the logic does not.

Businesses are classified by the sector of the economy they operate in:

Sector	Activity	Zambian example
Primary	Extraction of raw materials directly from nature.	Copper mining (ZCCM-IH, First Quantum Minerals), maize farming, fishing.
Secondary	Processing or manufacturing raw materials into finished goods.	Zambeef processing livestock; Zambia Sugar refining cane; National Breweries.
Tertiary	Providing services rather than physical goods.	Zanaco (banking), MTN Zambia (telecoms), ZESCO (electricity distribution).

CONCEPT 02

Types of Business Organisation

The legal form a business takes determines who owns it, who is liable for its debts, how it raises capital, and how it is controlled. Five forms appear on every exam.

Form	Key features	Liability	Zambian example
Sole Trader	Owned and managed by one person. Simplest to set up. All profit belongs to the owner.	Unlimited — personal assets at risk.	A roadside Kantemba stall; a freelance accountant.
Partnership	2–20 owners share capital, profit, loss, and management. Governed by a partnership deed.	Unlimited for ordinary partners.	A law firm or medical practice with shared ownership.
Private Limited Company (Ltd)	Separate legal entity. Shareholders own it; directors manage it. Shares not publicly traded.	Limited to share value.	Most Zambian SMEs registered as private companies.
Public Limited Company (PLC / listed)	Shares traded on a public stock exchange. Can raise large capital from the public.	Limited to share value.	Zambeef Products PLC on the Lusaka Securities Exchange (LuSE).
Public Sector Organisation	Owned by government on behalf of citizens. Objective is service delivery, not profit.	Government backed.	ZESCO (national electricity utility); University of Zambia.

Limited liability is the pivotal concept. In a sole proprietorship or general partnership, the owner's personal assets — home, car, savings — can be seized to settle business debts. Incorporation creates a legal barrier between the individual and the firm. That protection is what drives most businesses to incorporate as they grow.

Chanda runs a tailoring business from her home in Lusaka. She earns ZMW 8,000 a month and has one employee. Her sister wants to join the business, contribute ZMW 20,000 in capital, and share the profits equally. Identify the current legal form of Chanda's business and the form it would become if the sister joins. State two advantages and one disadvantage of the new form compared to the current one.

CONCEPT 03

What Businesses Exist to Achieve

An objective is a specific, measurable target that directs the organisation's decisions. Different ownership structures produce different objectives — and within a single firm, objectives evolve as the business moves through its life stages.

Objective	What it means	Who prioritises it
Profit maximisation	Generate the highest possible surplus of revenue over costs.	Shareholders in listed PLCs; sole traders with no growth ambition.
Satisficing	Earn enough profit to satisfy shareholders while pursuing other goals. Not maximum profit — sufficient profit.	Owner-managers balancing profit with work-life balance or social aims.
Survival	Remain solvent during a downturn, new competition, or startup phase. Revenue covers costs; cash flow is positive.	New businesses; firms under financial stress.
Growth	Increase revenue, market share, or geographic reach. Often pursued at the expense of short-run profit.	Businesses reinvesting to scale — e.g. Shoprite expanding into new regions.
Social / ethical	Serve community needs, minimise harm, operate sustainably. Profit is a constraint, not the goal.	Public sector bodies, cooperatives, NGOs, B-Corp certified firms.

ZESCO illustrates why sector matters. As a state-owned utility, ZESCO's primary objective is reliable electricity supply to households and industry across Zambia — including rural areas where it would never be profitable to operate. A private company serving the same market would exit the unprofitable routes. Government ownership keeps those routes open because the social objective overrides profit.

Objectives are not fixed. A business that survives its startup phase shifts to growth. A growth-focused firm that faces a recession shifts to survival. Reading which objective applies in a case question is half the analytical work.

CONCEPT 04

Who Has a Stake?

A stakeholder is any individual or group affected by the organisation's activities — or whose actions can affect the organisation. Stakeholders are not all equal: some can shut the business down (government, banks), others can only complain (local residents).

Stakeholder	Primary interest	Potential conflict with the firm
Shareholders / owners	Profit and capital growth. Return on their investment.	May demand short-run profits that sacrifice long-run investment.
Employees	Job security, fair wages, safe working conditions, career development.	Wage increases reduce profit available for shareholders.
Customers	Quality goods and services at fair prices.	Lower prices cut margins; quality improvements raise costs.
Suppliers	Prompt payment, long-term contracts, fair terms.	Firm may delay payment or switch to cheaper suppliers to cut costs.
Government	Tax revenue, employment, legal compliance, economic development.	Regulations and taxes constrain business decisions.
Local community	Employment, minimal environmental harm, contribution to local economy.	Expansion may bring noise, pollution, or traffic.
Lenders (banks)	Interest payments and return of principal. Low default risk.	Debt obligations constrain cash flow and limit strategic flexibility.

Stakeholder conflicts are resolved through negotiation, regulation, or power. Shareholders are legally the owners and take precedence in most private companies — but governments set the floor through labour law, environmental regulation, and tax codes that constrain what shareholders can demand.

Zambia Sugar PLC announces plans to expand its Mazabuka estate by 3,000 hectares. The expansion will create 800 jobs but will displace 200 smallholder farming families currently leasing that land. Identify four stakeholder groups affected by this decision. For each, state their primary interest and whether it aligns with or conflicts with the expansion. Then state which stakeholder group has the most power to halt the project and why.

REFERENCE

Key Terms

Term	Definition
Business	An organisation that transforms land, labour, and capital into goods or services for buyers, generating value through that transformation.
Business Administration	The systematic management of an organisation's affairs: planning, organising, directing, and controlling resources to achieve objectives.
Primary sector	Economic activity involving direct extraction of natural resources (mining, farming, fishing).
Secondary sector	Economic activity involving processing or manufacturing of raw materials into finished goods.
Tertiary sector	Economic activity involving the provision of services rather than physical goods.
Sole Trader	A business owned and managed by one person with unlimited personal liability for debts.
Limited Liability	Legal protection that caps an investor's financial loss at the value of their shareholding.
Objective	A specific, measurable target that directs the decisions of an organisation.
Profit maximisation	The goal of generating the highest possible surplus of revenue over total costs.
Satisficing	Earning sufficient rather than maximum profit, allowing pursuit of other goals alongside profitability.
Stakeholder	Any individual or group that is affected by the organisation's activities, or whose actions can affect the organisation.

OUTCOMES

What You Should Know After This Step

- Define business and explain how it creates value through resource transformation.
- Distinguish the three sectors of the economy and give a Zambian example for each.
- Compare five types of business organisation, including their liability implications.
- Explain why different ownership structures produce different primary objectives.
- Define stakeholder, classify stakeholders as internal or external, and identify typical conflicts between them.

Bring the Chanda tailoring question or the Zambia Sugar stakeholder exercise to **#bba-foundations** — these types of classify-and-justify questions are exactly what the continuous assessment tests.

Step 2.1 goes deeper into how organisations are structured internally.